

Customer Retention Strategy — FY2026

Document Owner: Customer Success Leadership | Classification: Internal

1. Overview

This document defines the target churn thresholds and retention interventions for FY2026, segmented by customer tier. Retention performance is reviewed monthly against these targets using data warehouse churn metrics. Any segment exceeding its threshold for two consecutive months triggers a mandatory retention review with account leadership.

2. Target Churn Thresholds by Segment

The following table defines the maximum acceptable monthly churn rate per customer segment. Churn rate is defined as the percentage of active accounts at the start of the month that cancelled or downgraded to zero spend by month end.

Segment	Target Monthly Churn	Escalation Threshold	Primary Retention Lever
Enterprise	Below 2.0%	3.0%	Dedicated CSM check-in
Mid-Market	Below 4.0%	6.0%	Quarterly business review
SMB	Below 6.5%	8.0%	Automated re-engagement email
Self-Serve	Below 9.0%	12.0%	In-app usage nudges

3. Documented Expectation for FY2026

Based on current retention investments, leadership expects blended churn across all segments to remain below 5.0% per month for FY2026. This blended target assumes Enterprise and Mid-Market accounts, which represent the majority of recurring revenue, stay within their individual thresholds defined in Section 2. If the data warehouse reports a blended churn rate above 5.0% in any given month, this is considered a deviation from the documented strategy and should be flagged for review regardless of which individual segment is driving the increase.

4. Review Cadence

Retention metrics are pulled from the data warehouse on the first business day of each month and compared against the thresholds in this document. Any segment breaching its escalation threshold for two consecutive months requires a written remediation plan within five business days.